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Term 3 2024 – JURD7150 | LAWS1150
Principles of Private Law

4A
Privity

Privity of contract

- **What is privity of contract?**

Rule: only a person who is a party to a contract can enforce the contract and incur obligations under it:

- Consequently -
- A contract cannot confer an *enforceable* benefit on a non-party
- Nor can it impose an enforceable burden on a non-party.

Privity of contract

How might a non-party get relief despite the privity rule?

1. The contracting party might enforce the contract (*Beswick v. Beswick* (1966) Ch 538, at p 554 Lord Denning M.R)
2. Maybe argue the privity rule does not apply (C was a party to the contract between A and B via **agency**)
3. C was acting as a **trustee** for one party to the contract between A and B
4. C establishes an **estoppel** against B if B has led C to believe:
    1. C would have enforceable rights against B; or
    2. B would perform a certain promise

    and C has relied on that assumption and would suffer detriment if B acted inconsistently with the assumption
5. C establishes that B's conduct in making the contract was **misleading or deceptive** in breach of the CCA

Did an issue of privity arise *in Placer Development Ltd v Commonwealth*?

Hint: See Windeyer J's judgment

Privity

Coulls v Bagot's Executor and Trustee Co Ltd (1967) 119 CLR 460



- Arthur Coulls authorised O'Neil Construction Pty Ltd to quarry stone from his land
- Arthur signed the agreement
- Royalties payable to Arthur and Doris as 'joint tenants'
- Arthur died.
- Is Doris entitled to royalties or is Arthur's estate?

- What is the consequence under a multi-party agreement where privity is satisfied but one party has not given consideration for a particular promise?

Privity

Coulls v Bagot's Executor and Trustee Co Ltd (1967) 119 CLR 460

Mrs Coulls (Doris) evidence:

" . . . my husband first informed me of the negotiations. I didn't take part in [them]. Mr. O'Neil and my husband talked it over, they dictated, I wrote it. I wrote out the agreement at their dictation. I wrote the agreement in the Highbury East dining room at lunch time.

The agreement was drawn up without professional assistance. I rang Mr. Crump, a solicitor, but couldn't contact him. I rang him at request of Mr. O'Neil and my husband. The words 'joint tenancy' came to be written in because first my husband said . . . I was to have the income, all the income, but after discussions, I did not think that was quite fair, so he said while he lived, we would share it. But it was to come to me on his death and then, there was a discussion about the correct term.

There was discussion between all three of us, not one of us knew the correct term, we couldn't find a dictionary. We didn't know whether joint tenancy or tenants in common was the apt expression. That is why the words at the end were added."

"Agreement between Arthur Leopold Coulls and O'Neil Construction Proprietary Limited.

In consideration of the sum of 5 pounds I Arthur Leopold Coulls, … give to O'Neil Construction Proprietary Ltd. the sole right to quarry and remove stone from an area of approximately 50 acres situated around blue dolomite hill near homestead of original Newman's Nursery.

I also agree to grant a permanent right of way … to Perseverance Road. O'Neil Construction Proprietary Ltd. agrees to pay at the rate of 3d. per ton for all stone quarried and sold, also a fixed minimum royalty of 12 pounds per week for a period of 10 years with an option of another 10 years at above basis (12 pounds per week minimum).

I also agree to extend this period for another 10 years at 4d. per ton royalty with a minimum royalty of 12 pounds per week as above.

I authorise the above Company to pay all money connected with this agreement to my wife, Doris Sophia Coulls and myself, Arthur Leopold Coulls as joint tenants (or tenants-in-common?) (the one which goes to living partner).

This agreement is effective from A. L. Coulls
July 1st 1959
L. O'Neil, D. S. Coulls."



Privity

Coulls v Bagot's Executor and Trustee Co Ltd (1967) 119 CLR 460

Substantial matters for decision in these appeals [to the HCA]-

Barwick C.J (diss)., McTiernan, Taylor, Windeyer (diss) and Owen JJ.

(1) What rights were created by the writing signed by the deceased, the company and by the respondent in January 1959 and what effect has the death of the deceased had upon any of those rights?

(2) Can the respondent receive and hold the said royalties as her own and also take the full benefit of the direction given in cl. 7 of the will? This matter is raised by the executor as a facet of the fourth question asked in the originating summons.

(3) What liability, if any, of the respondent to the executor arose upon the recovery of judgment by the mortgagees against the appellant executor, by reason of

(a) the respondent having joined with her husband in the personal covenants of the mortgages;

(b) her entitlement by survivorship upon his death to the sole proprietorship of the property "Hillcrest".

Privity

Coulls v Bagot's Executor and Trustee Co Ltd (1967) 119 CLR 460

4 Questions for the HCA: (3:2 majority decision)

1. Is O'Neil Construction Pty. Ltd. entitled or bound to pay the royalties payable under the said agreement to the applicant, Bagot's Executor and Trustee Co. Ltd.? Held: Yes

2. Is O'Neil Construction Pty. Ltd. entitled or bound to pay the said royalties to Doris Sophia Coulls, the deceased's widow? Held: No

3. If the said royalties are paid to the applicant, does it receive and hold the royalties as executor or trustee of the deceased's estate or for and on behalf of the said widow or for the widow and the deceased's estate jointly or in common? Held: Yes, as executory of Mr C's estate

4. Is the said widow the assignee of the said royalties and is she entitled to demand that payment of them be made to her and to hold them as her own? Held: No.

Privity

Coulls v Bagot's Executor and Trustee Co Ltd (1967) 119 CLR 460

S.Ct of SA held: royalties must be paid to Doris, not Arthur's executors

HCA

Maj: Taylor and Owen, and McTiernan

- Held – agreement was between Co and Mr Coulls. Mrs Coulls is a beneficiary of her husband's estate

Dissent: Barwick CJ and Windeyer

- Held – agreement was between the Co and both Mr and Mrs Coulls

Barwick at [20] The last paragraph in the writing refers to "all money connected with this agreement". This indicates, to my mind, that the deceased considered himself to be then determining the destination of the produce of his grant of the right to quarry for the whole period during which that right might subsist.

Circumventing the Privity rule

Trident General Insurance Co Ltd v McNiece Bros Pty Ltd

(1988) 165 CLR 107

13 June 1977: Blue Circle Southern Cement Ltd contracts with Trident General Insurance to cover any expenses concerning their subsidiaries, contractors and suppliers (this includes any **personal injury** matters).

Blue Circle, and its subcontractors, are now entitled to indemnity under Trident's Insurance Policy.

McNiece Bros subsequently becomes the principal contractor for a construction work plant owned by Blue Circle.

4 July 1979: A crane driver (employee of another company) who was working under direction of McNiece was injured on site.

The crane driver was successfully awarded compensation on grounds of personal injury against McNiece.

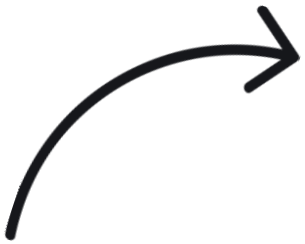
McNiece sought indemnity (compensatory relief) from Trident General Insurance.

Trident denies the claim based upon the grounds of doctrine of privity as McNiece did not have a direct contract with them.

Trident General Insurance Co Ltd v McNiece Bros Pty Ltd (1988) 165 CLR 107

The High Court of Australia:

- High Court hears appeal: on the grounds that Trident is not legally obligated to to cover McNiece's litigation costs because they **do not** have a contract with them (Doctrine of Privity).



The NSW Court of Appeal:

- Held: McNiece was entitled to their claim of indemnity under the Trident insurance policy on the basis that at common law there was an exception to the Doctrine of Privity of contract in the case of a **beneficiary**. [Trident Appeals.]

The Supreme Court of NSW:

- Held: McNiece was entitled to enforce the contract because it had been made by Blue Circle as McNiece's **agent**. [Trident Appeals.]



Trident General Insurance Co Ltd v McNiece Bros Pty Ltd

(1988) 165 CLR 107

Mason CJ + Wilson J (joint judgement):

- Both open to the idea of reconsidering the strict application of the Doctrine of Privity, just not in this case (as it deals with the matter of insurance) - they question whether the "*old rules should apply*"

- Mason CJ and Wilson J stated the privity rule had been eroded by statute and had the potential to cause injustice, saying: "*…we consider it is the responsibility of this court to reconsider in appropriate cases common law rules which operate unsatisfactorily and unjustly*."

Mason CJ and Wilson J

"It stands to reason that many subcontractors will **assume** that such an **insurance is an effective indemnity in their favour** and that they will refrain from making their own arrangements for insurance on that footing.

That, it seems, is what happened in the present case.

In the circumstances, notwithstanding the caution with which the court ordinarily will review earlier authorities and the operation of long-established principle, we conclude that the principled development of the law requires that it be **recognised that McNiece was entitled to succeed in the action**."

Dawson J dissented – this departure from the principle of privity was 'an invitation to engage in the destruction of accepted principle.

Insurance Contracts Act (1984) (Cth) s64

S 64

- **Application to third party beneficiaries** In this Part, a reference to an insured includes a reference to a third party beneficiary.

S 11

"third party beneficiary" , under a contract of insurance, means a person who is not a party to the contract but is specified or referred to in the contract, whether by name or otherwise, as a person to whom the benefit of the insurance cover provided by the contract extends.

Exceptions to the privity doctrine

A party not directly involved in acts of contract formation is nevertheless a party to the contract when:

1. One of the parties acts as agent for the non-involved party
2. One of the involved parties transfers contractual benefits to the non-involved part by way of an assignment or novation of the agreement

Agency

- Privity rule does not apply if a person promised a benefit under the contract can show that one of the parties was acting as their agent

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circumvention of the privity doctrine:

Third party seeks to enforce a contract as a beneficiary

1. Promisee may hold rights under the contract in trust for the beneficiary (eg: *Trident v McNiece*)
2. Beneficiary may be entitled to assert an estoppel against the promisor (eg: estoppel by convention)
3. Beneficiary may be entitled to claim damages for being misled or deceived (s 18 ACL)
4. Beneficiary may be entitled to claim damages in tort (breach of duty of care – eg Will incorrectly drafted)
5. S 64 *Insurance Contracts Act* 1984 (Cth)

Pros of retaining the Privity Doctrine

Practical considerations

1. If both the promisee and the 3rd party could enforce a promise by promisor, then double recovery would be possible
2. Privity protects a promisor from exposure to the risk of many potential plaintiffs
3. Entitlement of a 3rd party to enforce a contract might constrain the freedom of action of promisor and promisee

Theoretical considerations

1. A 3rd party who is promised a benefit under a contract has not participated in the bargain and has not paid for the promise
2. Recognising 3rd party rights gives public interests priority over private interests

Cons of the Privity Doctrine

1. Thwarts intentions of contracting parties
2. May cause injustice to 3rd parties
3. Prevents 3rd party who has suffered loss from suing – but party who has suffered no loss may sue
4. Availability of remedies depends on promisee's willingness and ability to sue (eg: Coulls v Bagot)
5. The range of CL and statutory circumventions suggest the rule is unjust
6. The range of exceptions makes the law complex, artificial and uncertain
7. A 3rd party can acquire rights under a contract in civil law jurisdictions and via legislation in numerous CL jurisdictions
8. JJ recognise the inconvenience and injustice of the rule
9. Privity causes difficulties for parties to commercial contracts who want to confer benefits on 3rd parties.

- Scenario one
- A promises to install a fence for B in return for B promising to pay $1,000 to C.
- A installs the fence. B refuses to pay.
- Can C sue for breach of contract? Can A?

- Scenario two
- A owns some land. A, B, and C enter into a tripartite agreement under which:
- A promises to sell the land to B in return for $5,000,000;
- B promises to offer C the opportunity to redevelop the land;
- C, who has previously done work for A, promises that if they do the redevelopment it will 'be sympathetic to the style and design' of a building that A continues to own next to the land being sold.
- All three parties sign the agreement. A sells the land to B in return for $5,000,000. Later, A goes into receivership. B refuses to offer C the opportunity to redevelop the land.
- Can C enforce B's promise?